

THE ARMY MILITARY-CIVILIAN COST SYSTEM (AMCOS) AMCOS SALARY CALCULATION METHODOLOGY



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INTRODUCTION

AMCOS computes salaries based on several different methods that vary slightly by pay plan. Despite the different approaches, the basic concept is a weighted average salary. This involves salary amounts weighted by corresponding inventory. We outline the different approaches used by each pay plan below.

- **Pay Schedule based**
 - Military - AO, AWO, AE, NO, NWO, NE, RO, RWO, RE
 - Civilian
 - G Series: GS, GL, GG
 - Wage Appropriated Fund: All W and X series not accounted for below
 - Wage Non-Appropriated Fund:
 - NA, NL, NS
 - CY (we assume the middle of the pay band)
 - NF (we assume the middle of the pay band)
- **Actual pay based**
 - Acquisition Demo - NH, NJ, NK
 - Laboratory Demo - DB, DE, DJ, DK
 - Physician – GP
 - Senior Executive – SES
 - Wage – WB, WJ, WK, WQ, WR, WT, WU
 - Administratively Determined (AD)
 - Other – CA, IG, IE, IP, EF, EX, EE, SL, ST, ZZ
- **Salary Survey based - CCE**

PAY SCHEDULE BASED

A pay schedule is a published source of salary by occupation, series, grade, grade level, step, etc. It is a fixed amount, which may or may not include locality pay (AMCOS lite provides specific cost elements for locality pay when applicable). Pay schedule sources include the [OPM GS Schedule](#) (GS), [OPM GS Special Rates](#) (GS for specific positions in certain areas) [Federal Wage System](#) (W, X, and NL/NS/NA not otherwise computed using actuals), and Defense Finance and Accounting Service ([DFAS](#)) (all military pay plans). Regardless of the source of the pay schedule, the process is the same: $[\text{Sum}(\text{Pay} * \text{Inventory})] / \text{Inventory}$. See Figure 1 & 2 for examples of pay schedule based calculations.

GS Grade X	Pay Schedule Amount	Inventory	Amount
Step 1	\$30,000	2	\$60,000
Step 2	\$32,000	5	\$160,000
Step 3	\$34,000	4	\$136,000
Total*		11	\$356,000
Weighted Average			$=\$356k/11=\$32,363.63$

Figure 1: Example Pay Schedule Weighted Average for Civilian

 **Note:** AMCOS uses pay and inventory for all available steps. We only display a few steps in the table above for simplicity purposes.

Active Military	Pay	Inventory	Amount
1 Year(s) of Service (YOS)	\$30,000	2	\$60,000
2 YOS	\$32,000	5	\$160,000
3 YOS	\$34,000	4	\$136,000
Total		11	\$356,000
Weighted Average			$=\$356k/11=\$32,363.63$

Figure 2: Example Pay Schedule Weighted Average for Military

Note: AMCOS uses pay and inventory for all available YOS. We only display a few YOS in the table above for simplicity purposes.

The National Guard and Reserve pay is slightly different. AMCOS annualizes drill pay and then adds two weeks of active duty training per year. DFAS provides Drill Pay (labeled 4 drills) which represents 2 days. AMCOS annualizes this figure by the following calculation: Annualized Drill Pay (2 days per month * 12 Months = 24 days) + Active Duty Training (ADT) Salary / 30 days * the number of ADT days (National Guard Default = 15 days; Reserve Default = 14 days). We display an example of this calculation in Figure 3.

Reserve	Drill Pay	Active Duty Salary	Subtotal (DP * 12) + ADS/30*14	Inventory	Amount
1 Year(s) of Service (YOS)	\$400	\$3,333	6,355.56	2	\$12,711.11
2 YOS	\$500	\$3,500	7,633.33	5	\$38,166.67
3 YOS	\$600	\$3,667	8,911.11	4	\$35,644.44
Total				11	\$86,522.22
Weighted Average					= \$86k/11 = \$7,865.66

Figure 3: Example Pay Schedule Weighted Average for National Guard/Reserve

Note: AMCOS uses pay and inventory for all available YOS. We only display a few YOS in the table above for simplicity purposes.

ACTUAL PAY BASED

Actual pay based calculations use real pay data from either the General Fund Enterprise Business Systems (GFEBS) system or Business Object Intelligence. AMCOS uses actual pay records but removes incomplete and/or part-time personnel. The pay data is usually from the first available full pay period of a calendar year which reflects annual pay adjustments. Since the pay data is only for one pay date it is annualized and then averaged across individuals with the same grade, step, locality, etc. AMCOS calculates the base pay for GFEBS records by removing any applicable locality pay adjustments based on the reported zip code of the personnel. Figure 4 provides an example of such calculations.

DB	Pay	Less Locality Pay	Inventory	Base Pay
DB1	\$3,000	\$300	1	\$2,700
DB1	\$3,200	\$300	1	\$2,900
DB1	\$3,100	\$300	1	\$2,800
Total				\$8,400
Weighted Average				= \$8.4k/3 * 26 = \$72,800

Figure 4: Example of Actual Pay Data

SALARY SURVEY BASED

The Bureau of Labor Statistics (BLS) [Occupational Employment Wage Statistics \(OEWS\)](#) uses salary survey data to determine pay by percentile. AMCOS uses this pay data for the Contractor Cost Estimate

(CCE) pay plan. This data already includes inflation so we use then-year dollars to express it. The BLS releases survey data each year for the year prior so AMCOS applies one year of OMA inflation per the Joint Inflation Calculator (JIC). Figure 5 displays an example of the percentiles AMCOS displays. Please see the Inflation and Discounting Help Document for further information on JIC inflation

SOC XYZ	Pay
25 th Percentile	\$30,000
50 th Percentile	\$38,000
75 th Percentile	\$45,000
90 th Percentile	\$52,000

Figure 5: Example of Salary Survey Data